Meridian Mutual Insurance Company

Shopfront Businessowners (BOP) Program

Nebraska — Rates and Rules Manual

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SYNTHETIC REFERENCE DOCUMENT — this filing, its carrier, and every number in it are invented. It exists so that software (and the people reviewing it) can practice reading a realistically structured rate filing without touching any carrier's real intellectual property.

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Section A — General Rules

Rule A.1 — Program description

The Shopfront Businessowners (BOP) Program provides property and liability coverage for small mainstreet risks (retail, office, service, and light artisan occupancies) at a single location in Nebraska. Premium is determined per coverage from the rates and factors in Section C, subject to the rating order in Section B. The classifications eligible for the program are listed in Section E; territory assignments in Section D.

Rule A.2 — Eligibility and referral

Risks are accepted, referred, or declined as follows (first matching row governs):

Order	Condition	Action
1	Annual gross sales over $5,000,000 AND less than 3 years in business	Decline
2	Classification c111 (Woodworking — light) or c112 (Welding supply)	Submit to company
3	Fully sprinklered AND public protection class 1–4	Preferred acceptance
4	All other risks meeting this manual's terms	Standard acceptance

Rule A.3 — Coverage options and election

Building coverage and business personal property (BPP) coverage are each OPTIONAL; a policy must carry at least one of them. Liability coverage is mandatory and is rated from annual gross sales. A coverage that is not elected develops no premium and its rating steps are skipped entirely — an elected coverage with a zero limit is not permitted.

Rule A.4 — Application conventions (defaults)

Where the application leaves the sprinkler question unanswered, the risk is rated as NOT sprinklered (and the equipment breakdown endorsement of Rule F.1 attaches). Where years in business is not stated, the risk is rated as 5 years in business.

Rule A.5 — Policy term and administration

Policies are written for a 12-month term. All premiums are whole-dollar. Midterm changes, cancellation, and reinstatement follow the company's standard commercial-lines procedures and do not alter the rating algorithm of this manual.

Section B — Premium Determination

Rule B.1 — Rating order

Each elected coverage develops premium independently, then the policy-level steps apply. All factors are taken from Section C.

Step	Building / BPP coverages	Liability coverage
1	Rate per $100: base rate × class (property) × construction/protection × building-limit relativity (Building only) × sprinkler × territory (property). Round the RATE to 3 decimals.	Rate per $1,000: base rate × class (liability) × gross-sales relativity × territory (liability). Round the RATE to 3 decimals.
2	Multiply by exposure: limit ÷ 100.	Multiply by exposure: annual gross sales ÷ 1,000.
3	Multiply by the loss cost multiplier (1.42) and round to whole dollars.	Multiply by the loss cost multiplier (1.42) and round to whole dollars.
4	Endorsements (Section F) multiply each coverage premium.	Same.
5	Apply the expense loading (1.06).	Same.
6	—	Liability minimum premium: $100 (Rule B.2).
7	Sum the coverage premiums; apply the package floor and final rounding (Rule B.2).	

Rule B.2 — Rounding, minimums, and the package floor

Rates round HALF-UP to 3 decimals before the exposure multiplies them; each coverage premium rounds half-up to whole dollars at step 3. The liability premium is subject to a $100 minimum after the loading. The total policy premium is subject to a $500 package minimum and rounds half-up to whole dollars.

Rule B.3 — Schedule rating (IRPM)

The company may modify the policy premium to recognize risk characteristics not otherwise reflected in this manual, per the schedule below. The total schedule credit or debit may not exceed 25% of the policy premium. No schedule credit or debit is reflected in the Section G examples.

Category	Range
Management experience	±10%
Premises condition	±15%

Section C — Rates and Factors

Rule C.1 — Base rates and multipliers

Item	Value	Applies
Building base rate (per $100 of limit)	0.18	Building
BPP base rate (per $100 of limit)	0.32	BPP
Liability base rate (per $1,000 of sales)	1.15	Liability
Loss cost multiplier (LCM)	1.42	All coverages
Expense loading	1.06	All coverages

Rule C.2 — Construction × protection factors

Construction \ Protection	Protection 1–4	Protection 5–8	Protection 9–10
Frame	1.05	1.18	1.42
Joisted masonry	0.96	1.07	1.28
Masonry	0.88	0.97	1.15
Fire-resistive	0.72	0.81	0.94

Applies to Building and BPP.

Rule C.3 — Building limit relativities

Building limit (from)	Relativity
$0	1.00
$100,000	0.93
$250,000	0.87
$500,000	0.82
$1,000,000	0.78

The relativity for a limit between two shown limits is determined by LINEAR INTERPOLATION between the factors shown; below the first shown limit or above the last, the endpoint factor applies. Applies to Building coverage only.

Rule C.4 — Annual gross sales relativities

Annual gross sales	Relativity
$0–$250K	0.90
$250K–$1M	1.00
$1M–$3M	1.12
$3M+	1.27

The factor of the band containing the risk's annual gross sales applies as shown; these factors are NOT interpolated. Applies to Liability coverage only.

Rule C.5 — Sprinkler factor

Sprinkler status	Factor
Sprinklered	0.92
Not sprinklered	1.00

Applies to Building and BPP. See also Rule F.1.

Rule C.6 — Territory factors

Territory	Property factor	Liability factor
T1	0.94	1.02
T2	1.00	1.00
T3	1.12	0.95
T4	0.97	1.01
T5	0.91	0.93
T6	0.89	0.97

Section D — Territory Definitions

Rule D.1 — ZIP code assignments

Territory	ZIP codes
T1	68001, 68002, 68003, 68015, 68018, 68064
T2	68102, 68104, 68105, 68106, 68107, 68110
T3	68502, 68503, 68504, 68505, 68506, 68510
T4	68005, 68046, 68123, 68128, 68147, 68157
T5	68801, 68803, 68845, 68847, 68901, 68902
T6	68025, 68601, 68701, 68702, 68776, 68787

A risk at a ZIP code not listed is outside the program's eligible territory.

Section E — Classification Table

Rule E.1 — Eligible classifications

Code	Classification	Property factor	Liability factor
c101	Retail — general merchandise	1.00	1.00
c102	Retail — apparel	0.92	0.95
c103	Office — professional	0.78	0.85
c104	Restaurant — limited cooking	1.45	1.30
c105	Bakery	1.32	1.18
c106	Barber / beauty shop	0.88	1.05
c107	Florist	0.95	0.90
c108	Hardware store	1.12	1.08
c109	Pharmacy	0.85	1.02
c110	Print shop	1.18	1.06
c111	Woodworking — light	1.85	1.55
c112	Welding supply	2.10	1.72
c113	Grocery — neighborhood	1.08	1.04
c114	Delicatessen	1.22	1.12
c115	Coffee shop — no frying	1.15	1.10
c116	Ice cream shop	1.05	0.98
c117	Bookstore	0.82	0.85
c118	Gift shop	0.90	0.88
c119	Jewelry store	1.02	0.92
c120	Shoe store	0.89	0.90
c121	Sporting goods	1.04	1.06
c122	Toy store	0.93	0.95
c123	Pet shop	1.06	1.08
c124	Bicycle shop — sales & repair	1.10	1.09
c125	Camera / electronics repair	1.08	1.00
c126	Tailor / dressmaker	0.84	0.82
c127	Dry cleaner — drop store only	0.98	0.96
c128	Laundromat — self service	1.24	1.15
c129	Picture framing	0.94	0.88
c130	Music store — instruments	0.91	0.87
c131	Art gallery	0.86	0.84
c132	Antique store	1.00	0.93
c133	Office — real estate	0.76	0.86
c134	Office — insurance agency	0.75	0.84
c135	Office — accounting	0.74	0.83
c136	Medical office — no surgery	0.96	1.14
c137	Dental office	0.98	1.12

Code	Classification	Property factor	Liability factor
c138	Veterinary office — small animal	1.14	1.20
c139	Photography studio	0.88	0.90
c140	Mailbox / shipping store	0.92	0.94

Section F — Endorsements

Rule F.1 — Equipment breakdown endorsement (MS 10 01)

Attaches automatically to every risk that is NOT fully sprinklered. Each coverage premium is multiplied by 1.08 at rating-order step 4.

Rule F.2 — New-venture surcharge endorsement (MS 20 07)

Attaches automatically to risks with less than 1 year in business: each coverage premium is multiplied by 1.15 at rating-order step 4. (No worked example in Section G exercises this endorsement; none of the example risks is a new venture.)

Section G — Worked Premium Examples

Rule G.1 — Worked examples

The following examples apply this manual end-to-end. They are the acceptance test of any implementation of this program: a system that reproduces every total below, to the dollar, implements the manual correctly.

Example mv_01 — Retail t2, sprinklered, preferred

Risk	
Class	c101
Building limit	$250,000
BPP limit	$80,000
Annual gross sales	$600,000
Construction / protection	jm / p1_4
ZIP (territory)	68102 (T2)
Sprinklered / years in business	True / 8
Underwriting action (Rule A.2)	Preferred

Step	Computation	Result
Building rate	0.18 × 1.00 × 0.96 × 0.8700 × 0.92 × 1.00 (round 3dp)	0.138
Building premium	0.138 × ($250,000 ÷ 100) × 1.42 (round)	$490
BPP rate	0.32 × 1.00 × 0.96 × 0.92 × 1.00 (round 3dp)	0.283
BPP premium	0.283 × ($80,000 ÷ 100) × 1.42 (round)	$321
Liability rate	1.15 × 1.00 × 1.00 × 1.00 (round 3dp)	1.150
Liability premium	1.150 × ($600,000 ÷ 1,000) × 1.42 (round)	$980
Policy-level steps	loading ×1.06 (Rule B.1 step 5)	
Final building premium		$519.40
Final bpp premium		$340.26
Final liability premium		$1,038.80
TOTAL POLICY PREMIUM		$1,898

Example mv_02 — Restaurant t3, unsprinklered (endorsement fires)

Risk	
Class	c104
Building limit	$400,000
BPP limit	$150,000
Annual gross sales	$1,200,000
Construction / protection	frame / p5_8
ZIP (territory)	68502 (T3)
Sprinklered / years in business	False / 12
Underwriting action (Rule A.2)	Standard

Step	Computation	Result
Building rate	0.18 × 1.45 × 1.18 × 0.8400 × 1.00 × 1.12 (round 3dp)	0.290
Building premium	0.290 × ($400,000 ÷ 100) × 1.42 (round)	$1,647
BPP rate	0.32 × 1.45 × 1.18 × 1.00 × 1.12 (round 3dp)	0.613
BPP premium	0.613 × ($150,000 ÷ 100) × 1.42 (round)	$1,306
Liability rate	1.15 × 1.30 × 1.12 × 0.95 (round 3dp)	1.591
Liability premium	1.591 × ($1,200,000 ÷ 1,000) × 1.42 (round)	$2,711
Policy-level steps	MMI-EB-01 ×1.08 (Rule F.1) · loading ×1.06 (Rule B.1 step 5)	
Final building premium		$1,885.49
Final bpp premium		$1,495.11
Final liability premium		$3,103.55
TOTAL POLICY PREMIUM		$6,484

Example mv_03 — Office t1, tiny liability (clamp fires)

Risk	
Class	c103
Building limit	$180,000
BPP limit	$40,000
Annual gross sales	$30,000
Construction / protection	fr / p1_4
ZIP (territory)	68001 (T1)
Sprinklered / years in business	False / 20
Underwriting action (Rule A.2)	Standard

Step	Computation	Result
Building rate	0.18 × 0.78 × 0.72 × 0.8980 × 1.00 × 0.94 (round 3dp)	0.085
Building premium	0.085 × ($180,000 ÷ 100) × 1.42 (round)	$217
BPP rate	0.32 × 0.78 × 0.72 × 1.00 × 0.94 (round 3dp)	0.169
BPP premium	0.169 × ($40,000 ÷ 100) × 1.42 (round)	$96
Liability rate	1.15 × 0.85 × 0.90 × 1.02 (round 3dp)	0.897
Liability premium	0.897 × ($30,000 ÷ 1,000) × 1.42 (round)	$38
Policy-level steps	MMI-EB-01 ×1.08 (Rule F.1) · loading ×1.06 (Rule B.1 step 5) · liability minimum $100 (Rule B.2) · package floor $500 (Rule B.2)	
Final building premium		$248.42
Final bpp premium		$109.90
Final liability premium		$100
TOTAL POLICY PREMIUM		$500

Example mv_04 — Micro florist (package floor fires)

Risk	
Class	c107
Building limit	$40,000
BPP limit	$10,000
Annual gross sales	$25,000
Construction / protection	masonry / p5_8
ZIP (territory)	68002 (T1)
Sprinklered / years in business	True / 6
Underwriting action (Rule A.2)	Standard

Step	Computation	Result
Building rate	0.18 × 0.95 × 0.97 × 0.9720 × 0.92 × 0.94 (round 3dp)	0.139
Building premium	0.139 × ($40,000 ÷ 100) × 1.42 (round)	$79
BPP rate	0.32 × 0.95 × 0.97 × 0.92 × 0.94 (round 3dp)	0.255
BPP premium	0.255 × ($10,000 ÷ 100) × 1.42 (round)	$36
Liability rate	1.15 × 0.90 × 0.90 × 1.02 (round 3dp)	0.950
Liability premium	0.950 × ($25,000 ÷ 1,000) × 1.42 (round)	$34
Policy-level steps	loading ×1.06 (Rule B.1 step 5) · liability minimum $100 (Rule B.2) · package floor $500 (Rule B.2)	
Final building premium		$83.74
Final bpp premium		$38.16
Final liability premium		$100
TOTAL POLICY PREMIUM		$500

Example mv_05 — Woodworking (submit tier)

Risk	
Class	c111
Building limit	$350,000
BPP limit	$120,000
Annual gross sales	$900,000
Construction / protection	jm / p9_10
ZIP (territory)	68104 (T2)
Sprinklered / years in business	True / 15
Underwriting action (Rule A.2)	Submit

Step	Computation	Result
Building rate	0.18 × 1.85 × 1.28 × 0.8500 × 0.92 × 1.00 (round 3dp)	0.333
Building premium	0.333 × ($350,000 ÷ 100) × 1.42 (round)	$1,655
BPP rate	0.32 × 1.85 × 1.28 × 0.92 × 1.00 (round 3dp)	0.697
BPP premium	0.697 × ($120,000 ÷ 100) × 1.42 (round)	$1,188
Liability rate	1.15 × 1.55 × 1.00 × 1.00 (round 3dp)	1.783
Liability premium	1.783 × ($900,000 ÷ 1,000) × 1.42 (round)	$2,279
Policy-level steps	loading ×1.06 (Rule B.1 step 5)	
Final building premium		$1,754.30
Final bpp premium		$1,259.28
Final liability premium		$2,415.74
TOTAL POLICY PREMIUM		$5,429

Example mv_06 — Big young welding supply (decline tier)

Risk	
Class	c112
Building limit	$900,000
BPP limit	$300,000
Annual gross sales	$6,000,000
Construction / protection	masonry / p5_8
ZIP (territory)	68505 (T3)
Sprinklered / years in business	False / 2
Underwriting action (Rule A.2)	Decline

Step	Computation	Result
Building rate	0.18 × 2.10 × 0.97 × 0.7880 × 1.00 × 1.12 (round 3dp)	0.324
Building premium	0.324 × ($900,000 ÷ 100) × 1.42 (round)	$4,141
BPP rate	0.32 × 2.10 × 0.97 × 1.00 × 1.12 (round 3dp)	0.730
BPP premium	0.730 × ($300,000 ÷ 100) × 1.42 (round)	$3,110
Liability rate	1.15 × 1.72 × 1.27 × 0.95 (round 3dp)	2.386
Liability premium	2.386 × ($6,000,000 ÷ 1,000) × 1.42 (round)	$20,329
Policy-level steps	MMI-EB-01 ×1.08 (Rule F.1) · loading ×1.06 (Rule B.1 step 5)	
Final building premium		$4,740.62
Final bpp premium		$3,560.33
Final liability premium		$23,272.64
TOTAL POLICY PREMIUM		$31,574

Example mv_07 — Pharmacy at a band edge ($250K exactly)

Risk	
Class	c109
Building limit	$250,000
BPP limit	$250,000
Annual gross sales	$250,000
Construction / protection	fr / p9_10
ZIP (territory)	68015 (T1)
Sprinklered / years in business	True / 9
Underwriting action (Rule A.2)	Standard

Step	Computation	Result
Building rate	0.18 × 0.85 × 0.94 × 0.8700 × 0.92 × 0.94 (round 3dp)	0.108
Building premium	0.108 × ($250,000 ÷ 100) × 1.42 (round)	$383
BPP rate	0.32 × 0.85 × 0.94 × 0.92 × 0.94 (round 3dp)	0.221
BPP premium	0.221 × ($250,000 ÷ 100) × 1.42 (round)	$785
Liability rate	1.15 × 1.02 × 1.00 × 1.02 (round 3dp)	1.196
Liability premium	1.196 × ($250,000 ÷ 1,000) × 1.42 (round)	$425
Policy-level steps	loading ×1.06 (Rule B.1 step 5)	
Final building premium		$405.98
Final bpp premium		$832.10
Final liability premium		$450.50
TOTAL POLICY PREMIUM		$1,689

Example mv_08 — Hardware t3, defaults exercised implicitly

Risk	
Class	c108
Building limit	$1,250,000
BPP limit	$400,000
Annual gross sales	$2,400,000
Construction / protection	frame / p9_10
ZIP (territory)	68510 (T3)
Sprinklered / years in business	False / 30
Underwriting action (Rule A.2)	Standard

Step	Computation	Result
Building rate	0.18 × 1.12 × 1.42 × 0.7800 × 1.00 × 1.12 (round 3dp)	0.250
Building premium	0.250 × ($1,250,000 ÷ 100) × 1.42 (round)	$4,438
BPP rate	0.32 × 1.12 × 1.42 × 1.00 × 1.12 (round 3dp)	0.570
BPP premium	0.570 × ($400,000 ÷ 100) × 1.42 (round)	$3,238
Liability rate	1.15 × 1.08 × 1.12 × 0.95 (round 3dp)	1.321
Liability premium	1.321 × ($2,400,000 ÷ 1,000) × 1.42 (round)	$4,502
Policy-level steps	MMI-EB-01 ×1.08 (Rule F.1) · loading ×1.06 (Rule B.1 step 5)	
Final building premium		$5,080.62
Final bpp premium		$3,706.86
Final liability premium		$5,153.89
TOTAL POLICY PREMIUM		$13,941